

New Vehicle Replacement Cost Coverage Guide

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Audience: Claims adjusters

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This guide expands on the New Vehicle Replacement endorsement (referenced alongside GAP coverage, END-GAP-01, in the Policy Form Version Comparison) with the claims-handling detail specific to this endorsement.

1. What New Vehicle Replacement Covers

Where purchased and shown on the Declarations page for a specific listed vehicle, New Vehicle Replacement Cost coverage pays the cost of a new vehicle of the same make and model (or the nearest equivalent current model if the exact model is no longer manufactured) in the event the covered vehicle is a total loss, rather than the depreciated Actual Cash Value that would otherwise apply under the Total Loss Valuation Methodology.

2. Eligibility Window

This coverage typically applies only within a defined period from the vehicle's original in-service date (commonly the first one to two model years) and only to the original purchaser or a qualifying lessee, as stated in the endorsement text on the Declarations page — a vehicle outside this window at the time of loss reverts to standard Actual Cash Value total loss handling, and the adjuster confirms the in-service date against the endorsement's stated eligibility window before applying new-vehicle replacement terms.

3. Relationship to GAP Coverage

New Vehicle Replacement Cost coverage and Guaranteed Asset Protection (GAP, END-GAP-01) address different gaps and are not the same benefit: GAP covers the difference between a standard ACV settlement and an outstanding loan or lease balance, while New Vehicle Replacement Cost replaces the ACV settlement itself

with a new-vehicle-cost settlement. A policyholder may hold one, both, or neither, and the Declarations page is checked independently for each — holding one does not imply the other is also present.

4. Computation Where Both Coverages Apply

Where both New Vehicle Replacement Cost and GAP coverage apply to the same total loss, the new-vehicle-cost figure (Section 1) is used as the base settlement in place of standard ACV, and GAP coverage is then evaluated against any remaining loan or lease balance exceeding that new-vehicle-cost figure — the deterministic calculation service computes these as sequential, clearly labeled steps rather than a single blended figure, so each input remains independently auditable.

5. Vehicle Must Be a Total Loss

New Vehicle Replacement Cost applies only where the vehicle is determined a total loss under the Total Loss Valuation Methodology's threshold comparison; it has no application to a repairable-vehicle claim, where standard Part D or Part C repair-cost payment applies regardless of whether New Vehicle Replacement Cost is present on the Declarations page.

6. Modifications and Aftermarket Equipment

The new-vehicle-cost figure in Section 1 reflects the manufacturer's base vehicle and factory-installed options consistent with the original purchase; aftermarket equipment or modifications are valued separately, if covered at all, following the standard equipment-coverage provisions in the Policy Wording rather than being included in the new-vehicle-replacement figure itself.

7. Deductible Application

The standard applicable Part D or Part C deductible from the Declarations page still applies to a New Vehicle Replacement Cost settlement unless the endorsement text specifically states otherwise — the enhancement changes the valuation basis (new-vehicle cost instead of ACV), not the deductible treatment, and the adjuster confirms the endorsement's specific deductible language rather than assuming a waiver.

8. Documentation Standard

A New Vehicle Replacement Cost claim file documents: confirmation the endorsement applies to the specific vehicle involved (Declarations page), confirmation the vehicle is within the eligibility window (Section 2), the total loss

determination under the Total Loss Valuation Methodology, whether GAP coverage also applies (Section 4), and the final computed settlement with each component shown separately.